

2.5 WHAT IS TRACTION?

In the previous section, we asked whether your business has traction. Can you say that whatever you are doing is working? Can that be demonstrated to a third party?

Let us now discuss what exactly traction is:

Traction is proof that what you are doing seems to be working. You have early signs of success. Different businesses have different metrics that is considered as traction.



Depending on the type of business, the traction metrics differ. You need different levels of traction for different investors to nudge.

For example, some investors might be completely okay with little traction. On the other hand, some investors may require more traction. Even after that, they may ask many questions. Nothing is wrong with that; it is just the investor's way of doing things and preferences. It depends on the amount of traction you have and what your traction metrics are. Very early investors may interest little or even no traction. Later stage investors invest with very high traction levels.